

(20)

Tentative Ruling

Re: ***Beltran v. Liberty Bell Equip. Corp., et al.***
Superior Court Case No. 24CECG05061

Hearing Date: September 2, 2026 (Dept. 502)

Motion: By Plaintiff for Final Approval of Class Action Settlement

Tentative Ruling:

To grant, as modified below with regards to the attorneys' fee split and incentive award. Within five days class counsel shall submit proposed final order and judgment consistent with this order.

To set a hearing at September 1, 2027, at 3:30 p.m. in Department 502 as a hearing date for an Amended Judgment pursuant to Code of Civil Procedure section 384. A verified report of payouts of settlement funds and a proposed amended judgment shall be submitted no later than August 18, 2027.

Explanation:

"Before final approval, the court must conduct an inquiry into the fairness of the proposed settlement." (Cal. Rules of Court, rule 3.769(g).) "The trial court has broad discretion to determine whether a class action settlement is fair. It should consider factors such as the strength of plaintiffs' case; the risk, expense, complexity and likely duration of further litigation; the risk of maintaining class action status through trial; the amount offered in settlement; the extent of discovery completed and the stage of the proceedings; the experience and views of counsel; the presence of a governmental participant; and the reaction of the class members to the proposed settlement." (*Reed v. United Teachers Los Angeles* (2012) 208 Cal.App.4th 322, 336.)

The court has already considered these factors and found the settlement to be fair and reasonable.

As a general rule, the lodestar method is the primary method for calculating the amount of class counsel's attorney's fees; however, the percentage-of-the benefit approach may be proper when there is a common fund. In some cases, it may be appropriate, when the monetary value of the class benefit can be determined with a reasonable degree of certainty, such as this one, for the judge to cross-check or adjust the lodestar amount in comparison to a percentage of the common fund to ensure that the fee awarded is reasonable and within the range of fees freely negotiated in the legal marketplace in comparable litigation. (See *Laffitte v. Robert Half Int'l, Inc.* (2016) 1 Cal.5th 480, 488–497; *Roos v. Honewell Int'l, Inc.* (2015) 241 Cal.App.4th 1472, 1490–1494; *In re Consumer Privacy Cases* (2009) 175 Cal.App.4th 545, 557.)

The lodestar analysis is based on a "careful compilation of the time spent and reasonable hourly compensation of each attorney ... involved in the presentation of the case." (*Serrano v. Priest (Serrano III)* (1977) 20 Cal.3d 25, 48.) As our Supreme Court has

repeatedly made clear, the lodestar consists of "the number of hours *reasonably expended* multiplied by the *reasonable* hourly rate. . . ." (*PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095, *italics added*; *Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1134.)

Reasonable hourly compensation is the "hourly prevailing rate for private attorneys in the community conducting noncontingent litigation of the same type." (*Ketchum v. Moses, supra*, 24 Cal.4th at p. 1133, *emphasis added*.)

Class counsel submit that their lodestar comes to \$167,008, based on 214.8 hours worked at hourly rates ranging from \$425 to \$853 per hour. While the claimed hourly rates of Jessica Flores and Kathleen Becket are high, given the complete lack of information about their skill and qualifications, the award of \$140,000 will be approved. Even adjusting some billing rates and hours downward, the lodestar would still approximate the percentage of the recovery agreement, particularly adding in a modest multiplier to account for the contingent nature of the representation.

Actual litigation costs of \$24,434.33 (Brown Decl., Exh. E) are also approved.

However, there is a fee sharing agreement between plaintiffs' counsel and the law firm Perez, Williams, Medina, and Rodriguez, LLP ("Perez Williams"), by which class counsel will receive 75% of the fees, and Perez Williams will receive 25%. Plaintiff states that when searching for an attorney he had an intake interview with Perez Williams, who couldn't take the case, and they referred plaintiff to Stansbury Brown.

"To fulfill its role in protecting absent class members, the class action court must consider the potential effect of a fee-splitting agreement before approving a proposed settlement. Evaluating the substance of the settlement separate from the attorney fees is insufficient." (*Mark v. Spencer* (2008) 166 Cal.App.4th 219, 227-228; see also Cal. Rules of Court, rule 3.769(b) ["Any agreement, express or implied, that has been entered into with respect to the payment of attorney's fees or the submission of an application for the approval of attorney's fees must be set forth in full in any application for the approval of the dismissal or settlement of an action that has been certified as a class action"].)

In granting preliminary approval the court stated Perez Williams must provide admissible evidence of the services provided to the class. Managing partner Raul Uribe states that Perez Williams "consulted with plaintiff, conducted a full intake, obtained and reviewed his employment records, and identified potential wage and hour claims that appeared to extend to other non-exempt employees. He adds that "Prior to referring this case, as stated, PWMR performed a detailed pre-filing investigation and intake, including: identifying the employer entities (Liberty Bell Equipment Corporation and ORS NASCO, LLC), researching the corporate structure of both entities through the California Secretary of State's website, investigating the nature and scope of the employers' business operations, identifying the specific Labor Code provisions potentially violated, obtaining and reviewing Plaintiff's employment file and records, and conducting the initial client interview to assess the viability of potential class claims. PWMR also coordinated the client interview between Plaintiff and Stansbury Brown Law, PC, and facilitated the execution of the retainer and fee-sharing agreements." (Uribe Decl., ¶ 4.) Most of the work was done by a legal assistant, not an attorney. Uribe estimates that the

legal assistant, for whom no billing records or billing rates are provided, spent 10 hours on the matter. (Uribe Decl., ¶ 6.) Mr. Uribe spent 2 hours on the matter at \$450 per hour. (Uribe Decl., ¶ 7.)

It is abundantly clear that Perez Williams did not provide legal services in value anywhere near \$35,000 (25% of \$140,000). A judge may not rely solely on an agreement by the attorneys for the class that allocates the fees between them, but must tie the award of fees to each attorney's actual efforts to benefit the class. The distribution of fees must bear some relationship to the services rendered. (*Mark v. Spencer* (2008) 166 Cal.App.4th 219, 229–230.)

Of the \$140,000 fee award the court will authorize only \$1,900 to be paid to Perez Williams - \$1,000 for the work done by the legal assistant (10 hours at \$100 per hour) and \$900 for the work done by Mr. Uribe.

The court finds that \$3,000 (not the \$5,000 provided for in the settlement agreement) would generously compensate plaintiff for her efforts and time expended, and risks taken in pursuing this action, and awards as much as an incentive payment.

Finally, the court approves the \$8,000 in administration costs.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling

Issued By: Img on 9-1-26.
(Judge's initials) (Date)